

19.50 [point 1]. I placed a stop-loss order 15 cents below the lowest low of the triangle. That would limit my loss to a steep 15%, but it was also just below the nearest support level [the bottom of which was at 16.75]. I thought there was a decent chance that if the stock declined, growing demand would repulse price and not trigger my stop. Still, it was a concern.”

Then he waited and watched. The stock peaked at 21.25 on 26 September before leveling off and heading back down. Since the stock was not near the price target of 22.50, Dan decided to hold on. The stock continued sinking until it found support at the horizontal triangle trendline at 19 on 5 October.

The stock started moving up again. On Halloween, the stock reached his price target by hitting a daily high of 23. He decided to sell the stock the next day and received a fill at 22.50.

Dan had a net gain of \$1,450 or almost \$3 a share. That is a 15% gain in 2 months. He also decided that he was lucky when he sold near the top.

When the stock returned to the support level in early October, it could have continued down. He decided that once a stock climbed by 10%, he should raise his sell stop to break even, even though in this case it would have cashed him out prematurely.